Research

United States

Industrial | Q1 2026

Seattle-Puget Sound

- Total vacancy climbed to a record high of 10.3%, largely due to recent deliveries coupled with slower demand across the market.
- Leasing activity slowed in Q1 with 3.0 million square feet signed, although, a few large blocks over 100K s.f. were leased in Kent Valley and Pierce County.
- The development pipeline remains active, with 2.4 million s.f. currently underway, but the pace of new construction starts has slowed significantly over the past year.

The Seattle-Puget Sound industrial market entered 2026 with elevated availability (12.6%) as lingering economic uncertainty continued to weigh on overall fundamentals. Following several years of rapid rent growth (38.4% since Q1 2020) and significant new development (41.3 million s.f. delivered since Q1 2020), the market shifted toward a more balanced environment giving tenants greater leverage and increasing competition among landlords. Vacancy remained elevated at 10.3% (up from 8.1% one year ago) across the market as recent deliveries continued to outpace current demand.

Leasing activity continued during the quarter, though volume remained well below the previous 12-quarter average of 4.7 million s.f. Q1 activity was highlighted by Mobis' 284K s.f. renewal/expansion at Sumner Corporate Park - Cascade Building and Seattle Goodwill Industries' 108K s.f. lease at Casino Road Corporate Park in Everett. Occupiers are now taking a more cautious approach, and landlords are increasingly prioritizing occupancy over pricing. Additionally, tenants with upcoming expirations continued to reassess space needs amid broader economic uncertainty, highlighted by Argents Air Express' recent renewal/downsize from 137K s.f. to 85K s.f. in Tacoma.

Several large-scale projects delivered across the Southend in Q1, including Bridge Point Tacoma 2MM - Buildings A and B and Bridge Point Kent 180, most of which remains largely available. Average asking rents held at $1.07 p.s.f., down slightly from $1.08 p.s.f. a year earlier. Rent growth has moderated (0.5% QoQ, -0.8% YoY), with many submarkets seeing flat or slightly softer asking rents compared with the sharp increases of recent years.

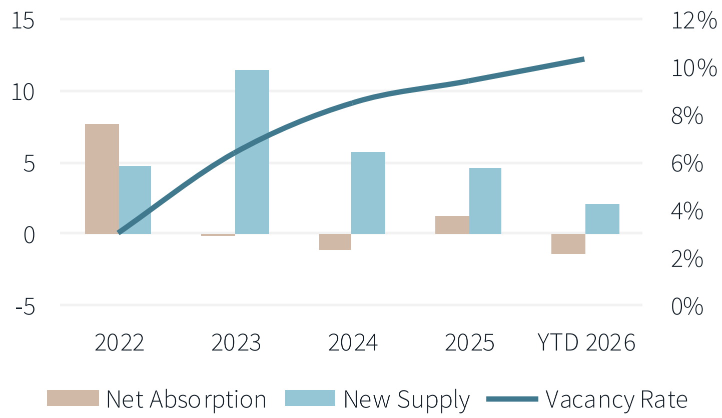
Outlook

Looking ahead, the Seattle industrial market will likely remain relatively soft but stable through the near term. Long-term fundamentals remain favorable, supported by the region's population growth (11.3% from 2015 to 2025) and regional logistics and trade-related demand drivers. Leasing activity may remain selective, favoring well-located or functionally efficient buildings as additional projects deliver through mid-2026.

Fundamentals		Forecast
YTD net absorption	–1.37 million s.f.	↑
Under development	2.35 million s.f.	↓
Preleased	0.0%	→
YTD deliveries	2.04 million s.f.	↑
Total vacancy	10.3%	↑
Total availability	12.8%	↑
Average asking rent	$1.07 p.s.f.	→
Concessions	Rising	↑

Historical supply and demand trends

s.f. (millions)



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